

NATIONAL INCOME MEASUREMENT

GDP | GVA | GNI/GNP | NDP | NNI | INDIA'S STATISTICAL SYSTEM

Continuous at-a-glance rail | static concepts + dated official methodology

01 ONE FLOW, THREE WINDOWS

PRODUCTION: sum value added

INCOME: compensation + surplus + mixed income

EXPENDITURE: final uses of domestic output

DISCREPANCY: sources/timing, never extra output

02 PRODUCTION BOUNDARY

GVA = output - intermediate consumption

IN: final use + inventories + qualifying own-account output

IMPUTE: owner housing + non-market government services

OUT: transfers + capital gains + old-asset value

03 TERRITORY TO RESIDENCE

1 GDP: production inside domestic territory

2 GNI/GNP: GDP + net primary income from abroad

3 RESIDENCE is not citizenship or ownership

4 PERSONAL TRANSFER: disposable-income bridge, not automatically GNI

04 GROSS TO NET

$GDP - CFC = NDP$

$GNI - CFC = NNI$

CFC: current-value capital consumed in production

NOT repair cash, currency depreciation or natural depletion

05 VALUATION BRIDGE

GVA AT BASIC PRICES

+ product taxes - product subsidies

= GDP AT MARKET PRICES

FACTOR COST: distinct legacy bridge using other production taxes/subsidies

06 EXPENDITURE AND PRICES

$PFCE + GFCE + GFCF + \text{stocks} + \text{valuables} + X - M$

IMPORTS: boundary correction, not welfare judgment

NOMINAL: current prices | REAL: volume at reference prices

DEFLATOR = nominal / real x 100

07 INDIAN INSTITUTIONS

1 MoSPI: ministry responsible for official statistics

2 NSO: national statistical producer

3 NAD: compiles GDP/GVA/GNI and NAS

4 STATE DES compile regional accounts; RBI/ministries supply inputs

08 RELEASE VINTAGE

FAE -> SAE -> PE -> revised/final

7 JAN 2026: FY26 FAE

27 FEB: SAE + new series | 5 JUN: PE

31 AUG: NAS 2026; always state base, period and vintage

09 2015 TO 2026 METHODS

2015: 2011-12 base + GDPmp headline + MCA21

2026: 2022-23 base + multi-activity segregation

Annual unincorporated surveys + GST/admin sources

Double deflation in agri/manufacturing + SUT integration

10 DEBATE TEST

MCA21: coverage gain vs active-unit/classification risk

DEFLATORS: output and input prices must fit the activity

INFORMAL PROXY: test stability during structural shocks

REFORM: surveys + revision decomposition + back series

11 GDP LIMITS

1 AVERAGE: per-capita still misses distribution

2 BOUNDARY: most unpaid care outside core GDP

3 WEALTH: depletion/destruction not symmetrically deducted

4 QUALITY/JOBS: production growth is not a complete welfare verdict

12 EXAM ANSWER SPINE

DEFINE the tested boundary

WRITE the exact bridge or identity

CITE dated Indian evidence and explain the mechanism

QUALIFY source, vintage and welfare limits; end with a dashboard

QUALIFIED VERDICT

GDP is indispensable for measuring production, but interpretation must preserve territory, valuation, price basis, source and vintage, then add employment, distribution, capability and environmental evidence.